

23PSCV00325 23PSCV00325

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Case Number: 23PSCV00325 Hearing Date: July 28, 2026 Dept: H

Zou, et al. v. CC

Express Trucking, et al.,

Case No. 23PSCV00325 (consolidated with Case No. 23STCV02756)

ORDER ON

APPLICATION FOR DEFAULT JUDGMENT

Plaintiffs Zhenni Zou and Xiaoye Cui's

Application

for Default Judgment is DENIED without prejudice.

Background

Case

No. 23PSCV00325

Plaintiffs Zhenni Zou ("Zou") and Xiaoye Cui ("Cui") (together, "Zou/Cui") allege as follows:

On

July 30, 2023, Zou/Cui formed CC Express Trucking ("CC Express"). At that time, Zou/Cui each deposited \$20,000.00 into the CC Express bank account to become equal shareholders. Zou was named as CC Express' Director, CEO and CFO, while Cui was named as its Secretary.

On August 29, 2020, Qian Yu ("Yu") visited Zou/Cui's house, during which time an oral agreement was entered into wherein Yu would become a 20% shareholder of CC Express for a \$10,000.00 investment and Zou/Cui would remain equal, majority shareholders with 40% each of the remaining

shares. On September 4, 2020, CC Express received Yu's \$10,000 investment.

On

or around November 20, 2020, Zou/Cui and Yu orally agreed that Yu would make a down payment on a truck (i.e., #6) and purchase a container for CC Express' benefit, with title in the name of CC Express; in return, Yu's interest in CC Express would increase from 20% to 33 1/3%. Instead, Yu put title to truck #6 and the container in her own name. Between October 2021 and December 2021, two of CC Express' trucks, including truck #6, broke down out-of-state, resulting in expensive repairs and towing costs paid by CC Express. On or about November 26, 2021, Zou/Cui and Yu agreed to sell CC Express' truck #10 for \$100,000 to help pay for CC Express' operating expenses. Yu convinced Zou/Cui to have the sale proceeds from truck #10 transferred to a separate account, to which Yu had sole access. After failing to get Zou/Cui to invest the sale proceeds from truck #10 into a different business venture, Yu transferred their share of the sale profits to them. Based on the agreement to sell truck #10, Zou/Cui had the understanding that the payouts would be reinvested back into CC Express. Yu used her share of the profits for her own benefit, while Zou/Cui deposited their shares into the CC Express account in order to continue paying operating expenses. Zou/Cui believe Yu has converted truck #6 and the container for her own use and benefit. Zou/Cui and Yu have had material disagreements which have resulted in the mismanagement of CC Express assets throughout the entirety of CC Express' operational history. Yu has failed to cooperate with Zou/Cui's efforts to wind down CC Express.

On July 5, 2023, Case Nos. 23PSCV00325 and 23STCV02756 were related; Case No. 23PSCV00325 was designated as the lead case.

On February 13, 2024, Zou/Cui filed a Derivative First Amended Complaint, asserting causes of action against Yu and Does 1-50 and Nominal Defendant CC Express for: (1) Conversion and (2) Dissolution of Corporation Pursuant to California Corporations Code § 1800 et seq.

On April 9, 2024, Yu's default was entered.

On

May 9, 2024, the Court consolidated Case Nos. 23PSCV00325 and 23STCV02756 for all purposes and designated Case No. 23PSCV00325 as the lead case.

On

February 19, 2026, the Court ordered Yu's complaint filed February 8, 2023 in

Case No. 23STCV02756 dismissed, without prejudice.

An

Order to Show Cause Re: Default Judgment is set for July 23, 2026.

Case

No. 23STCV02756

Yu alleges as follows: Yu, Zou and Cui are each 33.3% shareholders of CC Express. On or about September 14, 2021, Zou and Cui set up CSZ Logistics, Inc. ("CSZ"); since that time, Zou and Cui have transferred the entire business of CC Express to CSZ without Yu's consent.

On February 8, 2023, Yu filed a complaint, asserting ten causes of action against CC Express, CSZ Logistics, Inc., Zou, Cui and Does 1-50, including for breach of fiduciary duty, conversion, shareholder's derivative action for damages, false promise, unfair competition, and unjust enrichment.

On April 3, 2023, CC Express' default was entered.

On July 5, 2023, Case Nos. 23PSCV00325 and 23STCV02756 were related; Case No. 23PSCV00325 was designated as the lead case.

On March 12, 2024, the Court ordered CSZ's answer stricken and default entered.

On

May 9, 2024, the Court consolidated Case Nos. 23PSCV00325 and 23STCV02756 for all purposes and designated Case No. 23PSCV00325 as the lead case.

Discussion

Zou/Cui's application for default judgment is denied without prejudice.

The following defects are noted:

1. Zou/Cui seek \$149,324.69 in compensatory damages. (Case Summary, 7:10-13.) The only specific monetary figures identified in the Derivative First Amended Complaint ("FAC"), however,

are Zou/Cui's deposit of \$20,000.00 each into CC Express' bank account (FAC, ¶ 12), Yu's \$10,000.00 contribution to CC Express (Id., ¶¶ 13, 14 and 43), the parties' agreement to sell CC Express' truck #10 for \$100,000.00 (Id., ¶¶ 19, 32 and 48), Yu's retention of \$33,333.33 from the sale of CC Express' truck #10 for her own personal benefit (Id., ¶¶ 25, 35, 51, 57 and 58), and Yu's transfer of \$33,333.33 each to Zou and Cui following the sale of truck #10 and Zou's and Cui's subsequent deposit of these monies into CC Express' account (Id., ¶¶ 33, 35 and 49). The prayer of the FAC seeks unspecified general, consequential and special damages. In actions for money damages a default judgment is limited to the amount demanded in the complaint. (See *Greenup v. Rodman* (1986) 42 Cal.3d 822, 824; Code Civ. Proc., § 580, subd. (a) ["The relief granted to the plaintiff, if there is no answer, cannot exceed that demanded in the complaint, in the statement required by Section 425.11, or in the statement provided for by Section 425.115. . .".]) The amount demanded in the complaint is determined both from the prayer and from the damage allegations in the complaint. (*National Diversified Services, Inc. v. Bernstein* (1985) 168 Cal.App.3d 410, 417-418.)

2. Zou/Cui seek \$300,000.00 in punitive damages. (Case Summary, 7:17-20.) It does not appear that a Code of Civil Procedure section 425.115 statement has been served. Additionally, Zou/Cui have not provided the Court with any evidence of Yu's financial condition, which is required to support an award of punitive damages on default judgment. (See *Cummings Medical Corp. v. Occupational Medical Corp.* (1992) 10 Ca.App.4th 1291, 1299-1301.)

3. The Court requests that Zou/Cui provide an itemized breakdown for their request for \$648.09 in "e-filing and motion fees" and \$1,185.00 in "court interpreter fees."

4. Zou/Cui reserve on the issue of attorney's fees (Case Summary, 7:21-23); however, "a default judgment is intended to include all relief sought in the complaint and established by the plaintiff. Therefore, a plaintiff seeking an award of attorney fees from a defaulting defendant must request those fees at the time the plaintiff requests entry of default." (*Garcia v. Politis* (2011) 192 Cal.App.4th 1474, 1480.)

5. The Court requests that Zou/Cui provide an interest calculation.

Accordingly,

the application is denied without prejudice, and Zou/Cui are directed to submit a revised and complete default judgment application that addresses the aforementioned issues. Any subsequently submitted default prove-up application must be full and complete, in and of itself. The Court will not review piecemeal submissions.